

Availability Bias

Bias type: Cognitive

Availability bias occurs when people estimate the probability of an outcome based on how prevalent that outcome appears in their lives. People exhibiting this bias perceive easily recalled possibilities as being more likely than those prospects that are harder to imagine or difficult to comprehend. As an example, suppose an Independent is asked to identify the “best” mutual funds. Many of these investors would perform a Google search and, most likely, find funds from firms that engage in heavy advertising—such as Fidelity or Schwab. Investors subject to availability bias are influenced to pick funds from such companies, despite the fact that some of the best-performing funds advertise very little if at all.

Simple diagnostic for availability bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

I often take action on a new investment right away, if it makes sense to me.

Answering 3 to 5 shows a tendency toward availability bias.

Representativeness Bias

Bias type: Cognitive

Representativeness bias occurs as a result of a flawed perceptual framework when processing new information. To make new information easier to process, some investors project outcomes that resonate with their own preexisting ideas. An Independent might view a particular stock, for example, as a value stock because it resembles an earlier value stock that was a successful investment—but the new investment is actually not a value stock. For instance, a high-flying biotech stock with scant earnings or assets drops 25 percent after a negative product announcement. Some Independents may take this situation to be representative of a “value” stock because it is cheap; but biotech stocks don’t typically have earnings, while traditional value stocks have had earnings in the past but are temporarily underperforming.

Simple diagnostic for representativeness bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

Many investment choices I make are based upon my knowledge of how similar past investments have performed.

Answering 3 to 5 shows a tendency toward representativeness bias.